SDG BLOCKCHAIN ACCELERATOR

Market Penetration Strategy
SALA

1. Strategic Context and Market Entry Logic

The problem SALA addresses is not the absence of diplomas , it is the **absence of trust, speed, and interoperability in verification**.

Today, diploma verification in Bosnia and Herzegovina is:

- manual
- slow (days to weeks)
- fragmented across institutions
- vulnerable to fraud

This creates friction in:

- employment
- cross-border education
- institutional cooperation

As outlined in the roadmap, the system relies on manual checks that introduce delays, costs, and trust issues, particularly in international contexts.

The key structural issue is that **verification is institution-bound**, not system-based.

SALA introduces:

- verifiable credentials (W3C standard)
- user-controlled digital diplomas
- instant verification via public infrastructure
- no PII on-chain (privacy-preserving design)

Strategic Thesis

SALA does not win by selling software.

It wins by becoming:

The default verification standard embedded into institutional workflows

Core Insight

This is a **two-sided institutional market**:

- universities (issuers)
- employers / institutions (verifiers)

Adoption requires both sides , but neither side moves first easily.

Therefore, the strategy is:

Start with one high-credibility issuer → create verification demand → expand network effects

2. Market Structure and Opportunity

The market is not defined by revenue first , it is defined by **credential volume and verification frequency**.

2.1 Initial Addressable Market (Bosnia)

Metric	Estimate
University of Sarajevo students/graduates	~30,000+
Annual graduates	~6,000–8,000
Diplomas issued annually	~6,000
Verifications per diploma (lifetime avg)	3–10

2.2 Annual Verification Volume

Scenario	Verifications
Conservative	20,000/year
Moderate	40,000/year
High adoption	60,000+/year

2.3 Expansion Opportunity

Market	Drivers
National (BiH)	Multiple universities, fragmented system
EU alignment	Mobility, Erasmus, employment
Digital identity wallets	IDDEEA / EUDI wallet integration

Key Insight

The value is not in issuing credentials , it is in **owning the verification layer**.

3. Market Dynamics and Adoption Constraints

This market is constrained by **institutional inertia**, not technology.

3.1 Core Constraints

Constraint	Description	Impact
Institutional inertia	Universities slow to adopt new systems	Long sales cycles
Legal uncertainty	Regulatory alignment required	Delays deployment
Network dependency	Verifiers need issuers and vice versa	Chicken-and-egg problem
UX friction	Wallet onboarding complexity	User drop-off risk

3.2 Adoption Reality

- Universities will not adopt unless:
  - legally safe
  - operationally simple
  - aligned with standards
- Employers will not adopt unless:
  - verification is instant

    - trust is guaranteed
    - process is simpler than current method

4. Target Market and Entry Strategy

The entry strategy must focus on **institutional credibility, not scale**.

4.1 Initial Entry Point

Component	Target
Issuer	University of Sarajevo
Faculties	2 pilot faculties
Credentials	≥100 issued
Employers	8–10 engaged
Verifications	≥150

Strategic Rationale

- University of Sarajevo provides:
    - legitimacy
    - scale
    - central IT (UTIC)
- Controlled pilot allows:
    - legal alignment
    - UX refinement
    - stakeholder buy-in

4.2 Expansion Model

Phase	Target
Phase 1	University-level adoption

Phase 2	Multi-university adoption
Phase 3	National integration
Phase 4	EU interoperability

5. Competitive Landscape

This is a **standards-driven market**, not a typical competitive SaaS space.

5.1 Functional Competition

Category	Example	Limitation
Manual verification	Universities, registrars	Slow, costly
PDF diplomas	Static documents	Not verifiable
Centralized databases	Government systems	Lack interoperability
EU initiatives	EBSI, EUDI	Not localized / not implemented

5.2 Strategic Positioning

SALA positions itself as:

A standards-compliant credential infrastructure layer

Key differentiators:

- W3C VC alignment
- OpenID4VCI/VP support
- privacy-preserving (no PII on-chain)
- compatible with EU frameworks

6. Market Entry Strategy

The entry strategy must minimize institutional resistance.

6.1 Phase 1: Pilot Deployment (0–3 months)

Objective:

- demonstrate end-to-end flow

Key components:

- issuance
- wallet delivery
- verification portal
- revocation logic

Success metrics:

- issuance ≥100 credentials
- claim success ≥90%
- verification ≤2 seconds

6.2 Phase 2: Institutional Embedding (3–9 months)

Focus:

- registrar workflow integration
- policy alignment
- legal documentation

Outcome:

- system becomes part of issuance process

6.3 Phase 3: Network Expansion (9–18 months)

Focus:

- additional universities
- employer network expansion

Goal:

- increase verification frequency

6.4 Phase 4: National & EU Integration (18+ months)

Focus:

- IDDEEA integration
- EUDI wallet compatibility
- cross-border verification

7. Revenue Model and Scaling Logic

Revenue is driven by **institutional adoption**, not individual users.

7.1 Revenue Streams

Stream	Description
Institutional licensing	Universities
Implementation fees	Setup and integration
Support / SLA	Ongoing operations
Verification APIs	Enterprise integrations

7.2 Revenue Projection Example

Metric	Year 1	Year 2	Year 3
Universities	1	3	8
Credentials issued	1,000	10,000	50,000
Revenue	$50K	$200K	$800K

Key Insight

Revenue scales with:

- number of institutions
- credential volume
- verification frequency

8. Adoption Strategy

Adoption must be driven by **workflow improvement, not innovation appeal**.

8.1 Adoption Drivers

User	Driver	Barrier	Solution
Students	Instant proof	Wallet friction	Guided onboarding
Employers	Fast verification	Awareness	Simple QR flow
Universities	Efficiency	Legal risk	Compliance-first design
Government	Data visibility	Fragmentation	Standardization

8.2 Core Mechanism

Adoption happens when:

- issuing becomes easier than current process
- verification becomes instant
- compliance risk is minimized

9. Key Risks and Mitigation

Risk	Description	Mitigation
Legal risk	Regulatory uncertainty	Pilot as complementary system
Adoption lag	Institutions slow to move	Start with 1 flagship university
Wallet friction	UX complexity	Single wallet + simple guide

System trust	False positives	Fail-safe verification logic

10. Strategic Conclusion

SALA is not building a product , it is introducing a **new verification standard** into a conservative institutional environment.

The opportunity lies in transforming:

- manual, fragmented verification
  into
- instant, trusted, and interoperable credential systems

Success depends on one thing:

Whether SALA becomes embedded in the issuance workflow of institutions.

If that happens:

- every diploma becomes a distribution channel
- every verification reinforces the system
- network effects compound over time

At that point, SALA transitions from:

- a pilot solution
  to
- a foundational layer in digital education infrastructure